AC4407

Financial Reporting 1

Autumn 2020 Examination

Paper 1 · 1.5 hours · Answer ANY TWO of the four questions · Each question worth 50 Marks

Module	AC4407 — Financial Reporting 1
Session	Autumn 2020
Structure	Different from other papers in this series — no compulsory question. Pick any two of the four, each worth 50 marks.
This scheme covers	All four questions in full, so you can choose whichever two suit you best

Own-figure rule. If you carry an early error into later parts of a question but apply the right method consistently from that point on, you still pick up the method marks for those later steps.

Question 1

50 Marks — Financial Statements from a Trial Balance, IAS 1

Scenario

Conker Plc's trial balance at 31 December 2X19 (€mn): Buildings at cost 500, Equipment at cost 300, accumulated depreciation on each 60 and 100, trade receivables 120, bank & cash 100, provision for doubtful receivables 5, inventories at 1 Jan 2X19 18, trade payables 40, admin expenses 28, distribution costs 25, purchases 70, revenue 290, ordinary share capital 300, share premium 66, 10% debenture 100, retained earnings b/f 200, dividends paid 10, corporation tax 10 (credit balance — an over-provision from 2X18). Closing inventory is €15m, buildings were revalued to €600m on 1 January 2X19 (25-year remaining life from that date, depreciation to admin expenses), and equipment depreciates at 20% reducing balance (to distribution costs).

Required

50 Marks

In a form suitable for publication under IAS 1, prepare for Conker Plc the statement of profit or loss and other comprehensive income, and the statement of financial position, as at 31 December 2X19.

FULL MODEL ANSWER

Sorting the six notes before touching the statements

Note 1 — the inventory sale confirms no write-down is needed. €2m (at cost) of the closing €15m inventory was sold in January for €3m — comfortably above cost. That's confirmation the year-end carrying amount is fine, not a signal to write anything down. Closing inventory stays at €15m.

Note 4 — the tax figure in the trial balance nets against this year's charge. It's described as an over-provision from 2X18, sitting as a credit balance in the trial balance. An over-provision reduces the current year's tax expense: €36m (this year's estimate) less €10m (last year's excess) = €26m. The full €36m becomes the closing tax liability, since the €10m has now been used up correcting last year's number.

Note 2 — the share issue happens after the year end. 20 February 2X20 is after 31 December 2X19, so this doesn't touch the 2X19 statements at all. It's a non-adjusting subsequent event — worth a note disclosure, but the share capital and share premium figures on the SOFP stay exactly as they are in the trial balance.

Note 3 — the proposed dividend isn't a liability. A dividend that's only been proposed, not declared and approved, doesn't meet the definition of a liability at the reporting date under IAS 10. It's disclosed, not recognised.

Note 5 — the building needs both a revaluation and a fresh depreciation calculation. It was revalued right at the start of the year, so 2X19's depreciation is based on the new valuation and the newly-assessed 25-year life — not on the old cost or the old remaining life.

A less obvious one: the debenture interest hasn't been recorded anywhere in the trial balance. There's no finance costs line at all in the given figures. That means the year's interest still needs to be accrued from scratch — and since nothing suggests it's been paid, it sits on the closing balance sheet as a payable, not as a reduction to cash.

Question 1 (continued)

FULL MODEL ANSWER

Buildings

Step	Value
Carrying value at 1 Jan 2X19, before revaluation (500 − 60)	€440m
Fair value at 1 Jan 2X19	€600m
Revaluation gain (to OCI)	€160m
2X19 depreciation (600 ÷ 25 years)	€24m
Carrying value at 31 Dec 2X19	**€576m**

Equipment

Step	Value
Carrying value at 1 Jan 2X19 (300 − 100)	€200m
2X19 depreciation (20% × 200)	€40m
Carrying value at 31 Dec 2X19	**€160m**

Cost of sales

	€mn
Opening inventory	18
Purchases	70
Less: closing inventory	(15)
Cost of sales	**73**

Question 1 (continued)

FULL MODEL ANSWER

Statement of Profit or Loss and Other Comprehensive Income

	€mn
Revenue	290
Cost of sales	(73)
Gross profit	**217**
Administrative expenses (28 + 24 depreciation)	(52)
Distribution costs (25 + 40 depreciation)	(65)
Operating profit	**100**
Finance costs (10% × €100m debenture)	(10)
Profit before tax	**90**
Tax (36 current year, less 10 over-provision from 2X18)	(26)
Profit for the year	**64**
Other comprehensive income: revaluation gain on buildings	160
Total comprehensive income for the year	**224**

Statement of Financial Position as at 31 December 2X19

	€mn
Non-current assets	
Buildings, at valuation	576
Equipment	160
Total non-current assets	**736**
Current assets	
Inventories	15
Trade receivables (120 less provision of 5)	115
Bank and cash	100
Total current assets	**230**
Total assets	**966**

	€mn
Equity	
Ordinary share capital	300
Share premium	66
Revaluation reserve	160
Retained earnings (200 + 64 profit − 10 dividends)	254
Total equity	**780**
Non-current liabilities	
10% Debenture	100
Current liabilities	
Trade payables	40
Tax payable	36
Accrued interest payable	10
Total liabilities	**186**
Total equity and liabilities	**966**

Total equity and liabilities comes to exactly €966m — matching total assets. That balance only works because the debenture interest was accrued as a payable rather than assumed paid; miss that and the statement is €10m out.

Mark Allocation, 50 Marks

Tier	Marks	What separates this tier
40–50	40–50	Buildings correctly revalued and re-depreciated over the reassessed 25-year life; equipment correctly depreciated on the reducing balance; tax correctly netted for the over-provision; the share issue and proposed dividend both correctly excluded as non-adjusting/unrecognised; debenture interest correctly accrued as a payable; both statements balance.
28–39	28–39	Most of the above correct, with one or two slips — most commonly forgetting to accrue the debenture interest (an easy one to miss since there's no finance costs line in the trial balance at all), or depreciating buildings on the original 40-year assumption instead of the reassessed 25 years.
15–27	15–27	P&L broadly right but the SOFP doesn't balance, or the revaluation is recognised in profit or loss instead of OCI.
0–14	0–14	No credible attempt at either statement.

Question 1 Total: 50 Marks

Question 2

50 Marks — Three Parts

Part A — Required

20 Marks

Critically discuss the arguments for and against the capitalisation of borrowing costs as part of an asset's cost. Refer to the relevant financial reporting regulations on this issue.

FULL MODEL ANSWER

IAS 23 *Borrowing Costs* settles this debate in current practice — capitalisation of borrowing costs directly attributable to a qualifying asset is mandatory, not optional. But the arguments on both sides are still worth understanding, since they explain *why* the standard takes this position.

The case for capitalisation

It matches the definition of cost. If a company borrows specifically to fund construction, the interest is as much a cost of getting that asset ready for use as the materials and labour are. Leaving it out understates what the asset actually cost to build.

It matches expense to the revenue the asset generates. Expensing all the interest during construction charges a cost against a period when the asset isn't yet producing any revenue at all. Capitalising it spreads that cost, via depreciation, across the years the asset is actually in use — a better match under the accruals concept.

It avoids an artificial dip in profit. Without capitalisation, a company mid-way through a major construction project would show weaker profit purely because of financing timing, not because the underlying business is performing any worse.

The case against

The asset's real economic cost doesn't depend on how it was financed. Two identical buildings, built for the same price, would end up on the balance sheet at different values purely because one company borrowed to fund it and the other used retained cash or equity. That's a financing decision affecting an asset value, which sits awkwardly with the idea that cost should reflect what was actually consumed in construction.

It's genuinely complex to apply. Working out which borrowings are specific to a project, calculating a weighted average rate for general borrowings, and — as tested elsewhere in this series — suspending capitalisation during interruptions in construction, all involve judgement calls that create room for inconsistency between companies, or between periods for the same company.

It can look like a way to keep a real expense off the P&L. Interest is fundamentally a financing cost. Moving it onto the balance sheet, even where IAS 23 requires it, means a genuine cost of the period doesn't show up as an expense until the asset is later depreciated — some would argue this delays recognition of a cost that was economically incurred now.

> **Where this leaves practice today:** IAS 23 removed the choice in 2009 — capitalisation is now required wherever the criteria are met, so the debate above is largely academic for compliance purposes. But it's worth knowing, because it explains why the standard includes the safeguards it does (only *directly attributable* costs qualify, capitalisation stops when construction is suspended or complete) — those conditions exist precisely to contain the comparability and judgement concerns raised by the case against.

Mark Allocation, 20 Marks

Tier	Marks	What separates this tier
16–20	16–20	At least three distinct points on each side, engaging with the actual accounting arguments (matching principle, comparability, judgement/complexity) rather than just describing IAS 23's mechanics, with a clear reference to the standard itself.
11–15	11–15	Reasonable coverage of one side with the other underdeveloped, or points listed without much explanation of the underlying reasoning.
6–10	6–10	General description of IAS 23's requirements without meaningfully engaging with the for/against debate.
0–5	0–5	No meaningful attempt.

Question 2

50 Marks — Three Parts

Part B — Required **10 Marks**

M Ltd manufactured 10,000 units of product T in the year, against a normal level of activity of 12,000 units, incurring: raw material Z, 20,000 units @ €8; direct labour, 40,000 hours @ €5; fixed production overheads of €180,000 (including €10,000 depreciation), incurred and paid in full. 2,000 units of finished goods remained on hand at 31 December 2X19.

What value should be placed on the inventory of product T at 31 December 2X19?

FULL MODEL ANSWER

Material and labour — straightforward, based on actual cost

	Total Cost	Cost per Unit (÷ 10,000 actual units)
Raw material (20,000 units @ €8)	€160,000	€16.00
Direct labour (40,000 hours @ €5)	€200,000	€20.00

Fixed overhead — this is where the normal-capacity rule bites

Actual production (10,000) is below the normal level (12,000). IAS 2 is explicit that the amount of fixed overhead allocated to each unit isn't increased just because production happened to be low that year. The rate has to be based on normal capacity — €180,000 ÷ 12,000 = €15 per unit — not on actual output, which would give an inflated €18 per unit and push some of the cost of idle capacity into inventory where it doesn't belong.

	€/unit
Fixed overhead absorption rate (180,000 ÷ 12,000 normal units)	€15.00

Putting it together

Component	€/unit
Raw material	16.00
Direct labour	20.00
Fixed overhead (normal capacity rate)	15.00
Full cost per unit	**51.00**

Inventory value = 2,000 units × €51.00 = €102,000

The €30,000 of overhead that doesn't make it into inventory (2,000 units of unused capacity × €15) isn't lost — it's simply expensed straight to profit or loss as a cost of under-utilisation, rather than sitting capitalised in unsold stock.

Mark Allocation, 10 Marks

Tier	Marks	What separates this tier
8–10	8–10	Correct material and labour cost per unit, correct fixed overhead rate based on normal capacity (not actual production), and the correct €102,000 final valuation.
5–7	5–7	Material and labour correct, but overhead absorbed at the actual-production rate (€18) instead of the normal-capacity rate (€15) — an own-figure error, but the most common one in this type of question.
2–4	2–4	Only material and labour costed correctly, with no attempt to bring in fixed overhead.
0–1	0–1	No credible attempt.

Question 2

50 Marks — Three Parts

Part C — Required

20 Marks

Klopp Ltd bought equipment for €500,000 on 1 January 2X18, receiving a €100,000 grant on the same date (all conditions met, deferred income policy). Depreciated straight-line over 5 years. On 31 December 2X19 it emerged that grant conditions had in fact been breached, and the full €100,000 must be repaid.

a) Prepare the SOFP extract as at 31 December 2X18.
b) Prepare the journal entries to recognise the repayment in 2X19.

FULL MODEL ANSWER

a) Statement of Financial Position extract, 31 December 2X18

	Value
Equipment, cost	€500,000
Less: accumulated depreciation (500,000 ÷ 5)	(€100,000)
Equipment, carrying amount	**€400,000**

	Value
Deferred income (grant) — current liability (next year's release)	€20,000
Deferred income (grant) — non-current liability (remaining 3 years)	€60,000

b) Journal entries — 2X19 repayment

> **IAS 20 gives a specific rule for grants that become repayable, and it isn't simply to expense the full amount.** The repayment is applied first against whatever deferred income balance is still sitting on the books. Only once that's used up does the excess get expensed immediately.

Step	Value
Deferred income remaining at 31 Dec 2X19, before the repayment issue (100,000 − 2 years × 20,000)	€60,000
Full grant now repayable	€100,000
Applied against the remaining deferred income	€60,000
Excess — expensed immediately (the two years already recognised as income)	**€40,000**

Account	Debit	Credit
Deferred income	€60,000	
Profit or loss (expense)	€40,000	
Payable to government (repayment liability)		€100,000

It's tempting to just expense the full €100,000 — but that would double-count the €60,000 that's already sitting as deferred income waiting to be released. Clearing that balance first, and only expensing the genuinely new cost (the income already booked in 2X18 and 2X19 that now has to be reversed), is what IAS 20.32 actually requires.

Mark Allocation, 20 Marks (roughly 8 for part a, 12 for part b)

Tier	Marks	What separates this tier
16–20	16–20	Correct 2X18 SOFP extract with the deferred income correctly split between current and non-current; correct repayment journal splitting the €100,000 between clearing the remaining deferred income (€60,000) and an immediate expense (€40,000).
10–15	10–15	Correct 2X18 extract; repayment journal recognises the full €100,000 but doesn't correctly split it against the remaining deferred income balance (e.g. expensing the full amount, or crediting the full amount straight to the liability without touching deferred income at all).
5–9	5–9	2X18 extract broadly right but deferred income not split current/non-current; repayment treatment not attempted or fundamentally wrong.
0–4	0–4	No credible attempt at either part.

Question 2 Total: 50 Marks

Question 3

50 Marks — Two Parts

Part A — Scenario

Wall and Gate share profits 1:2, after 5% interest on capital; drawings attract 12% interest. Opening (1 Jan 2019): Wall — capital €20,000, current account €10,000; Gate — capital €40,000, current account €19,000. Cash drawings (accruing evenly through the year): Wall €4,000, Gate €8,000. Additional capital introduced: Wall €12,000 on 1 April, Gate €24,000 on 1 September. Net profit for the year: €230,000, after adjusting for €2,000 of goods taken by Wall. Gate is guaranteed a minimum residual profit share of €69,000.

Part A — Required

25 Marks

For the year ending 31 December 2019: (i) prepare the profit appropriation account, and (ii) prepare the partners' capital and current accounts in T-account format.

FULL MODEL ANSWER

Interest on capital — has to be time-weighted, since both partners introduced more capital part-way through the year

	Jan–Mar (3 mo)	Apr–Aug / Apr–Dec	Sep–Dec (4 mo, Gate only)	Interest on capital (5%)
Wall	€20,000	€32,000 (Apr–Dec, 9 mo)	—	**€1,450**
Gate	€40,000 (Jan–Aug, 8 mo)	—	€64,000	**€2,400**

Interest on drawings — drawings accrue evenly, so treat them as outstanding for an average of 6 months

	Cash Drawings	Interest at 12% for 6 months
Wall	€4,000	**€240**
Gate	€8,000	**€480**

The €2,000 of goods Wall took is already built into the €230,000 profit figure given, and it doesn't attract interest — the question specifies interest is charged only on cash drawings. It still needs to come out of Wall's current account as a drawing in its own right, though.

Question 3, Part A (continued)

FULL MODEL ANSWER

Profit Appropriation Account

	€
Net profit for the year	230,000
Add back: interest on drawings (240 + 480)	720
Less: interest on capital (1,450 + 2,400)	(3,850)
Residual profit to be shared 1:2	**226,870**

	Wall (1/3)	Gate (2/3)
Residual share	75,623	151,247

Check the guarantee before moving on. Gate's minimum is €69,000 — but the ordinary 2/3 share already comes to over €151,000, comfortably clear of the guarantee. It's worth actually checking this rather than assuming it must bind just because it's mentioned: here, it doesn't, and no top-up is needed.

Total appropriation

	Wall	Gate
Interest on capital	1,450	2,400
Residual profit share	75,623	151,247
Total	**77,073**	**153,647**

Question 3, Part A (continued)

FULL MODEL ANSWER

Capital Accounts

Wall — Capital Account	€	Gate — Capital Account	€
Balance b/f: 20,000		Balance b/f: 40,000	
Cash introduced (1 Apr): 12,000		Cash introduced (1 Sep): 24,000	
Balance c/f: 32,000		**Balance c/f: 64,000**	

Current Accounts

	Wall (€)	Gate (€)
Balance b/f	10,000	19,000
Add: interest on capital	1,450	2,400
Add: residual profit share	75,623	151,247
Less: interest on drawings	(240)	(480)
Less: cash drawings	(4,000)	(8,000)
Less: goods taken (Wall only)	(2,000)	—
Balance c/f	**80,833**	**164,167**

Mark Allocation, 25 Marks

Tier	Marks	What separates this tier
20–25	20–25	Interest on capital correctly time-weighted for both partners' mid-year introductions; interest on drawings correctly based on the 6-month average; the guarantee correctly checked and correctly found not to bind; both current accounts correctly closed off, including the non-interest-bearing goods drawing.
13–19	13–19	Appropriation account broadly correct but one time-weighting error (a common one: applying interest on capital to the full year at the closing balance, ignoring the mid-year introduction), or the goods taken omitted from Wall's current account.
6–12	6–12	Interest on capital and drawings not time-weighted at all — flat rates applied to opening or closing balances only.
0–5	0–5	No credible attempt.

Question 3

50 Marks — Two Parts

Part B — Required **25 Marks**

Discuss the fundamental and enhancing qualitative characteristics of useful financial information, as set out in the IASB's Conceptual Framework for Financial Reporting (2018).

FULL MODEL ANSWER

The two fundamental characteristics — without these, information isn't useful no matter what else it has going for it

Relevance. Information is relevant if it's capable of making a difference to a decision. That happens in two ways: predictive value (it can be used as an input to forecasting future outcomes) and confirmatory value (it confirms or corrects an earlier assessment) — often both at once. Materiality sits inside relevance too: information is material if leaving it out, or getting it wrong, could plausibly change what a user decides.

Faithful representation. It's not enough for information to be about the right thing — it has to actually represent it faithfully. That means three things together: complete (nothing significant left out), neutral (no bias in how it's selected or presented, which is where the exercise of prudence under uncertainty comes in), and free from error (no mistakes in the process used to arrive at the figures — which doesn't mean every estimate is perfectly precise, just that it was made and described honestly).

The four enhancing characteristics — these make relevant, faithfully represented information even more useful, but can't rescue information that lacks the fundamentals

Comparability. Users need to compare an entity's information over time, and against other entities, to spot similarities and differences that matter. Consistent application of accounting policies is what makes this possible — which is exactly why IAS 8, elsewhere in this paper series, insists on retrospective restatement whenever a policy changes.

Verifiability. Different, independent, knowledgeable observers should be able to reach broad agreement that a figure faithfully represents what it claims to. Sometimes that's direct (physically counting cash), sometimes indirect (checking the inputs and the method used to arrive at an estimate).

Timeliness. Information available too late to influence a decision has lost much of its value, even if it's perfectly accurate. Older information can still be useful for spotting trends, but the general rule is that usefulness decays with age.

Understandability. Classifying and presenting information clearly, and using plain language, makes it accessible to users with a reasonable level of business knowledge who are prepared to study it with reasonable diligence. Complex phenomena shouldn't be left out just because they're hard to explain — but they should be explained as clearly as the underlying substance allows.

How the two groups relate to each other: The fundamental characteristics decide whether information should be included at all. The enhancing characteristics decide how to present information that's already passed that test, to get the most out of it. A figure that's comparable, verifiable, timely and understandable but not relevant or faithfully represented in the first place is still not useful — the enhancing characteristics can't compensate for a failure in the fundamentals.

Mark Allocation, 25 Marks

Tier	Marks	What separates this tier
20–25	20–25	All six characteristics correctly named and explained with genuine understanding, plus a clear sense of how the fundamental and enhancing groups relate to each other (not just two disconnected lists).
13–19	13–19	Most characteristics covered accurately, but the fundamental/enhancing distinction not clearly drawn, or one or two characteristics missing.
6–12	6–12	Some characteristics named with only superficial explanation, or several missing entirely.
0–5	0–5	No meaningful attempt.

Question 3 Total: 50 Marks

Question 4

50 Marks — Statement of Cash Flows, IAS 7

Scenario

Salah Plc's Statement of Financial Position, 31 December 2X19 and 2X18 (€mn):

	2X19	2X18
Land	1,200	1,000
Plant & equipment	1,681	1,575
Inventories	100	75
Trade receivables	69	45
Investments (deposit accounts, repayable on demand)	50	10
Cash	100	20
Ordinary share capital @ €1	2,000	1,900
Revaluation reserve	200	—
Retained earnings	600	520
10% Debentures	300	180
Trade payables	90	110
Tax	10	15

No P&L is given — only the balance sheet. Equipment costing €50m (accumulated depreciation €32m) was sold 1 November 2X19 for €10m. Corporation tax charge for the year: €19m. The additional debenture was all raised on 1 April 2X19. Proposed dividend: €10m at 31/12/2X18, €12m at 31/12/2X19. Plant & equipment: cost/accumulated depreciation/carrying amount — €1,950m/€375m/€1,575m (2X18); €2,200m/€519m/€1,681m (2X19).

Required

50 Marks

In line with IAS 7 'Cash-flow Statements', prepare the Statement of Cash Flows for Salah Plc for the year ended 31 December 2X19.

FULL MODEL ANSWER

This one is missing a P&L extract entirely — so profit has to be worked backwards

> **The dividend, unusually, is the figure you're given — it's profit that's missing.** Every other cash flow question in this series gives you profit and asks you to derive the dividend paid. Here it's the other way round: the €10m proposed at the end of 2X18 is the amount that gets approved and paid out during 2X19, so that figure is already known. What's missing is profit for the year, which has to come out of the retained earnings movement instead.

	€mn
Retained earnings, 31 Dec 2X18	520
+ Profit after tax for 2X19 (the unknown)	X
− Dividends paid (the 2X18 proposed dividend, now paid)	(10)
= Retained earnings, 31 Dec 2X19	600

520 + X − 10 = 600 ⇒ X = €90m (profit after tax)

> **The €12m proposed at the 2X19 year end plays no part in this year's cash flow.** It hasn't been approved or paid yet — it's disclosure-only, and will show up as next year's cash outflow instead.

> **The Investments are cash, not a separate investment.** Repayable on demand deposit accounts meet IAS 7's definition of a cash equivalent. They sit alongside Cash in the closing cash and cash equivalents balance, not as an investing activity line.

> **Land's entire movement is a revaluation, not a purchase.** Land rose by exactly €200m (1,000 to 1,200) — precisely matching the new €200m revaluation reserve. That's too exact to be a coincidence: the whole increase is a non-cash revaluation gain, with no cash spent on additional land at all.

Question 4 (continued)

FULL MODEL ANSWER

Workings

Plant & equipment	**€mn**
Opening cost	1,950
− Disposal (at cost)	(50)
+ Additions (balancing figure)	**300**
= Closing cost	2,200

Accumulated depreciation	**€mn**
Opening balance	375
+ Charge for the year (balancing figure)	**176**
− Eliminated on disposal	(32)
= Closing balance	519

Disposal	**€mn**
Cost	50
Accumulated depreciation	(32)
Carrying value	18
Proceeds	10
Loss on disposal	**8**

> **Debenture interest also has to be built up from the balances.** €180m outstanding for the full year, plus the new €120m tranche for the nine months from 1 April: (180 × 10%) + (120 × 10% × 9/12) = €18m + €9m = €27m.

Tax paid	**€mn**
Opening tax liability	15
+ Charge for the year	19
− Closing tax liability	(10)
= Tax paid	**24**

Question 4 (continued)

FULL MODEL ANSWER

Statement of Cash Flows — Salah Plc, year ended 31 December 2X19

	€mn
Cash flows from operating activities	
Profit before tax (90 profit after tax + 19 tax charge)	109
Add: Depreciation	176
Add: Loss on disposal of equipment	8
Add: Debenture interest	27
Operating profit before working capital changes	**320**
(Increase) in inventories (100 − 75)	(25)
(Increase) in trade receivables (69 − 45)	(24)
(Decrease) in trade payables (90 − 110)	(20)
Cash generated from operations	**251**
Interest paid	(27)
Tax paid	(24)
Net cash from operating activities	**200**

	€mn
Cash flows from investing activities	
Purchase of plant & equipment	(300)
Proceeds from sale of equipment	10
Net cash used in investing activities	**(290)**

	€mn
Cash flows from financing activities	
Proceeds from issue of shares (2,000 − 1,900)	100
Proceeds from issue of debentures (300 − 180)	120
Dividends paid	(10)
Net cash from financing activities	**210**

	€mn
Net increase in cash and cash equivalents	**120**
Cash and cash equivalents at 1 Jan 2X19 (Cash 20 + Investments 10)	30
Cash and cash equivalents at 31 Dec 2X19 (Cash 100 + Investments 50)	**150**

The €120m increase matches the balance sheet exactly — cash and cash equivalents went from €30m to €150m. Note there's no separate line anywhere for Land, since its entire movement was a non-cash revaluation.

Mark Allocation, 50 Marks

Tier	Marks	What separates this tier
40–50	40–50	Profit correctly derived from the retained earnings movement using the known (prior-year) dividend; Investments correctly folded into cash equivalents; Land correctly recognised as a pure revaluation with no cash impact; PP&E additions, disposal loss, debenture interest and tax all correctly worked out; a fully reconciling statement.
28–39	28–39	Correct overall structure with one or two slips — most often treating the Land increase as a cash purchase, or using the €12m 2X19 proposed dividend instead of the €10m actually paid.
15–27	15–27	Operating activities broadly right, but profit not correctly derived (or not attempted at all) because no P&L extract was given directly.
0–14	0–14	No credible attempt to reconcile the non-current asset movements or derive the missing profit figure.

Question 4 Total: 50 Marks